

INDIAN EXPRESS UPSC IAS EDITION HD 30~06~2026
-:FOR UPSC IAS ASPIRANTS:-

"AVOID POLITICAL & IRRELEVANT ARTICLES"

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*All the topics of this UPSC IAS Edition are directly or
indirectly important for the prelims & main examination.*

*There are some topics which can be coded in answer
writing of other topics in the main exam.*

KUSHNER & WITKOFF BOUND FOR DOHA

US, Iran pause strikes, but differ over next steps on talks

Pezeshkian: \$6bn of \$12bn assets frozen in Qatar to be returned to Tehran

Reuters

Washington, Dubai, June 29

PRESIDENT DONALD Trump said on Monday that Iran had requested a meeting with US counterparts, though one of Iran's top negotiators said no further talks had been scheduled after attacks across Persian Gulf over the weekend challenged negotiations to end the war.

The US President has tried to preserve a fragile interim deal, but hostilities mounted in recent days in the Strait of Hormuz. After four days of trading strikes, both sides appeared to pause their attacks on Monday.

Trump said on social media that a meeting with Iran would happen on Tuesday in Doha, Qatar. Special Envoy Steve Witkoff and Jared Kushner, the president's son-in-law, are flying to Qatar for the meeting, White House Press Secretary Karoline Leavitt told *Fox News*.

Kazem Gharibabadi, a senior negotiator for Iran, denied any talks had been scheduled. The US and Iran agreed to an interim deal earlier this month that calls for Tehran to dilute its stockpile of enriched uranium.

It also waives US-backed sanctions on the country, opens the Strait of Hormuz and gives each side 60 days to hammer out broader agreements. The Trump administration was operating on Monday on the understanding that the US and Iran are standing down after the

Only Iran will de-mine Strait, says minister

Dubai: The removal of mines from the Strait of Hormuz is to be carried out solely by Iran according to the Islamabad MoU between Tehran and Washington, Iran's Deputy Foreign Minister Kazem Gharibabadi said in a post on X on Monday, in response to French President Macron's comments on the subject.

Emmanuel Macron said on Monday that France and Oman will cooperate with their partners on clearing mines from the Strait of Hormuz. "We strongly advise France not to complicate it further with its provocations," Gharibabadi said. **REUTERS**

recent back-and-forth strikes and that vessels can move freely through the Strait of Hormuz, said a US official.

Iranian President Masoud Pezeshkian offered praise for the interim deal in comments published Monday by state-run *IRNA news* agency, calling it "a great victory for Iranian people."

"Based on the plans made, \$6 billion out of the total \$12 billion of Iranian resources in Qatar will be released and returned to the country, and necessary follow-ups are being carried out," he said. Pezeshkian, a reformist within Iran's theocracy, is the highest-ranking official to reference the release of the funds held by Qatar, a key mediator along with Pakistan. Gharibabadi, the Iranian negotiator, cast doubt on the meeting in comments published by IRNA.



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DELHI GOVT APPROVES EV POLICY 2.0: NO NEW CNG AUTORICKSHAWS FROM JANUARY NEXT YEAR

Delhi mandates all new 2-wheelers be electric from '28 to fight pollution

100% road tax waiver for four-wheelers priced up to Rs 30 lakh; cash incentives for buying electric two- three-wheelers

Gayathri Mani
New Delhi, June 29

NO PETROL motorcycles and scooters can be registered in Delhi after March 31, 2028, the Delhi government announced on Monday. The registration of new CNG auto-rickshaws will stop at the end of this year. Beginning April 2028, therefore, every new two- and three-wheeler sold in Delhi will have to be an electric vehicle (EV).

The decisions, part of the Delhi government's EV Policy 2.0, represent a sweeping, first-of-its kind policy reform in the country, aimed at making a significant contribution to the Capital's chronic air pollution problem.

The policy will come into effect on July 1, following approval from Lt Governor Taranjit Singh Sandhu. Chief Minister Rekha Gupta, who announced the decision of the Delhi Cabinet on Monday, described the EV Policy as a major step to-

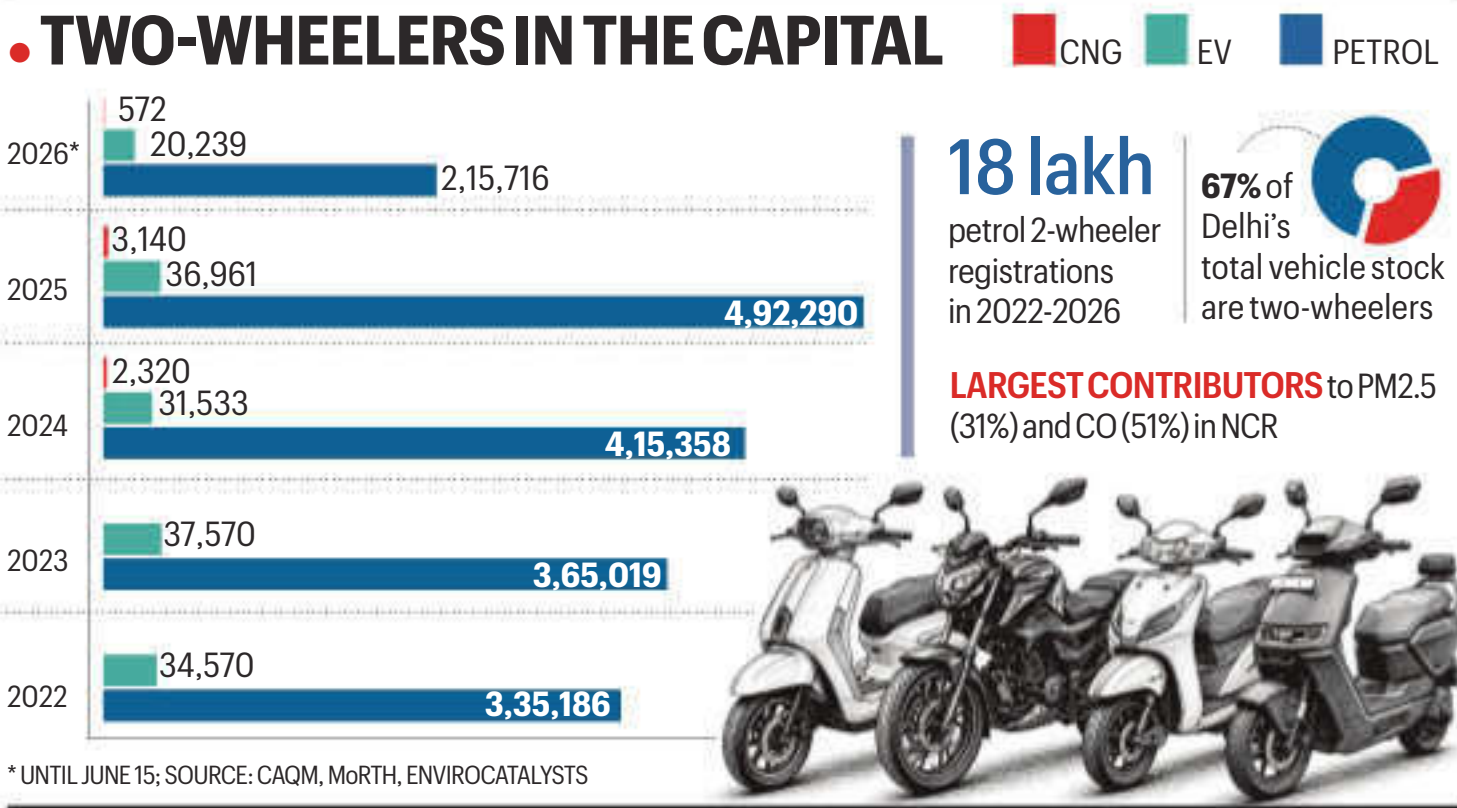


Delhi CM Rekha Gupta at the Secretariat, Monday. ABHINAV SAHA

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INCENTIVES, TAX EXEMPTIONS: HOW BUYERS BENEFIT

EXPERTS PUSH FOR INFRA BOOST

wards making Delhi pollution-free by March 31, 2030. The government would spend Rs 15,000 crore on incentives and on strengthening the »CONTINUED ON PAGE 2



Two-wheelers constitute two-thirds of Delhi's vehicles, why this shift matters

Sophiya Mathew & Devansh Mittal
New Delhi, June 29

THE DELHI Electric Vehicle (EV) Policy announced on Monday focuses on two priorities: a phased transition to mandatory electric two-wheelers, three-wheelers, and

light-duty trucks, and a conscious emphasis on pure EVs over strong hybrid vehicles.

The policy aims to achieve a minimum 30% electrification of Delhi's vehicle fleet by March 31, 2030, when the policy runs out.

The transport sector is

among the most significant contributors to Delhi's air pollution. While winter episodes of bad air get the most attention, vehicular emissions remain a persistent source of pollution through the year, making the transition to »CONTINUED ON PAGE 2

EV policy

EV-charging infrastructure in the city, the CM said.

A senior Transport Department official clarified that the notification of the new policy did not mean that existing non-electric two-wheelers would be forced off the roads. “We are not stopping any bike or scooter from plying in Delhi. Our only push is that no new registration will be allowed in the city (after the deadline). The government is giving enough time of two years for both the customers as well as manufacturers for a gradual transition towards EVs,” the official said.

Delhi’s previous EV policy, brought by the Aam Aadmi Party government, expired two years ago, and was subsequently extended multiple times. The current extension runs out on Tuesday. It aimed to curb vehicular pollution and increase the share of EVs in new registrations to 25 per cent by 2024.

The new policy expands the incentives and scrappage bene-

fits to encourage a rapid transition to EVs. The government has proposed a cash incentive of up to Rs 30,000 for buying an electric two-wheeler in the first year of the new policy, and Rs 20,000 and Rs 10,000 for purchases made in the second and third years, respectively.

For passenger three-wheelers (autos), the incentive will be Rs 50,000, Rs 40,000, and Rs 30,000 in the first, second, and third years, respectively.

There are incentives for scrapping older vehicles as well. Owners who give up their BS-IV or older two-wheelers will receive Rs 10,000, while owners who scrap their three-wheelers will be eligible for Rs 25,000.

In its draft EV Policy 2026 published in April seeking public comments, the government had said that “two-wheelers constitute approximately 67% of the total vehicle stock in Delhi, making their rapid electrification critical for achieving meaningful reductions in vehicular emissions”.

On Monday, citing a 2008 study by the nonprofit TERI, Transport Secretary and Com-

missioner Niharika Rai said two- and three-wheelers contributed 46% of the capital’s vehicular pollution load, while commercial goods vehicles accounted for 33%. “Nearly 80% of commercial goods vehicles operating in Delhi fall under the ‘N1’ category, or light commercial vehicles with a gross vehicle weight of up to 3.5 tonnes. The policy, therefore, focuses on replacing the existing fleet in these three categories with electric vehicles,” Rai said.

Buyers of N1 electric trucks will be eligible for a subsidy of up to Rs 1 lakh in the first year, and those who scrap older, non-EV N1 trucks will receive an incentive of Rs 50,000.

“Gramin Seva vehicles reaching the end of their operational life will receive a scrapping incentive of Rs 15,000. In addition, the first 1 lakh owners scrapping BS-IV or older four-wheelers will be eligible for a scrapping incentive of Rs 1 lakh,” Rai said.

The policy also provides a waiver of the Delhi entry fee for the first 1,000 electric N2 trucks (3.5-12 tonnes) purchased within three months of the policy being

notified.

The policy announced on Monday does not include the incentive for buying strong hybrid vehicles, which had been proposed in the draft policy. The draft had proposed a 50% exemption of road tax and registration charges initially for strong hybrids costing up to Rs 30 lakh ex-showroom. The idea was to use strong hybrids to bridge the transition to non-polluting cars as the capital built up its EV charging infrastructure.

The proposal had been backed by top institutes and consultants working to promote electric mobility, but critics had argued in favour of investments in charging infrastructure and a push for the adoption of pure EVs.

The new EV policy continues with the 100% waiver on road tax and registration charges on fully electric vehicles. For four-wheelers, the exemption will apply to vehicles with an ex-showroom price of up to Rs 30 lakh. Officials said EVs bought under the policy will not be allowed to be sold or registered in another state for three years.

Why shift matters

zero-emission vehicles a key component of the capital’s clean air strategy.

“The policy focuses on pure EVs, which offer superior environmental benefits as zero-emission vehicles,” the Delhi government said in a statement on Monday.

The policy cleared by the Delhi Cabinet cites the latest report of the Commission for Air Quality Management (CAQM), ‘Identification of the Causes for Worsening AQI in Delhi-NCR’, which estimates that vehicular emissions contribute around 23% of Delhi’s PM2.5 pollution during winter, making transport the single largest pollution source within the city.

The report notes that two-wheelers constitute nearly 67% of Delhi’s vehicle stock, making their rapid electrification critical for reducing emissions.

It also identifies three-wheelers, commercial cars and ‘N1’ category goods vehicles — with a gross vehicle weight of up to 3.5 tonnes — as priority segments because of their high daily utilisation and mileage, which result in disproportionately high emissions.

All of this has been flagged in earlier emissions inventories as well.

- A draft report by the non-profit The Energy and Resources Institute (TERI) in 2021 identified vehicles as the single largest contributor to Delhi’s PM2.5 pollution through much of the pollution season.

Within the transport sector, two-wheelers were the largest contributors to PM2.5, PM10, sulphur dioxide and carbon monoxide emissions. Three-wheelers were found to be the largest source of volatile organic compounds (VOCs), while buses contributed the highest nitrogen oxides (NOx).

Across the National Capital Region (NCR), two-wheelers accounted for almost 31% of transport-related PM2.5 emissions and 51% of carbon monoxide emissions, the TERI inventory estimated.

- Earlier, a source apportionment study by IIT Kanpur had estimated that two-wheelers contributed about a third of vehicular PM2.5 and PM10 emissions in Delhi.

- An emissions inventory prepared under the Indian Institute of Tropical Meteorology’s System of Air Quality and Weather Forecasting and Research (SAFAR) in 2018 too identified transport as the biggest contributor to PM2.5 and NOx emissions, accounting for 41% and 76% respectively.

The CAQM report pointed out that emissions are influenced not only by the number of vehicles on the road but also by their age, mileage, fuel type, emission standards and maintenance.

Older vehicles, particularly those certified under pre-BS-VI norms, emitted substantially higher levels of pollutants because of engine deterioration and less effective emission-control systems.

It also noted that traffic congestion worsened emissions by causing inefficient combustion, and greater numbers of vehicle-kilometres travelled continued to increase the sector’s pollution burden.

A 2025 study by researchers at Delhi Technological University, which analysed exhaust emissions from 575 petrol-powered two-wheelers tested at Pollution Under Control centres in Delhi, found that besides age, vehicle mileage strongly influences emissions of carbon monoxide and hydrocarbons, and recommended that India’s vehicle scrappage policy should incorporate mileage in addition to age to identify highly polluting vehicles.

The CAQM has also pointed out that transport emissions extend beyond pollutants directly emitted from exhaust pipes. Nitrogen oxides and volatile organic compounds released by vehicles react in the atmosphere to form secondary particulate matter. These secondary particles account for about 27% of winter PM2.5 in Delhi and 17% during summer. Since they are formed through atmospheric chemical reactions rather than being emitted directly, controlling emissions from vehicles helps reduce not only primary pollutants but also the precursor gases responsible for secondary particle formation.

Rajnath releases DFP-2026 for timely execution of R&D projects, efficiency

Amrita Nayak Dutta
New Delhi, June 29

DEFENCE MINISTER Rajnath Singh on Monday released the Delegation of Financial Powers to DRDO (DFP-2026), a major reform aimed at enhancing efficiency, accountability, and timely execution of strategic defence research and development (R&D) projects.

This comes at a time when the DRDO is actively pursuing critical military projects, such as Project Kusha, AGNI series of ICBMs, Netra Airborne Early Warning and Control systems and Advanced Medium Combat Aircraft (AMCA), among others. Enhanced and simplified financial delegations will aid DRDO with the means to streamline and execute key projects faster.

In a Defence Ministry statement, Singh said the DFP-2026 will facilitate faster production and induction of systems, platforms and technologies emerging from the R&D ecosystem into the Defence Forces.

He said the new framework will foster stronger collaboration with industry and academia, reinforcing the vision of Aatmanirbhar Bharat. The revised framework will con-

tribute to enhanced self-reliance in defence technologies and strengthen the nation's defence preparedness, he added.

The DFP-2026 aims to significantly enhance functional empowerment at various levels within the Department of Defence R&D.

The statement noted that the revised framework addresses several critical requirements, including dedicated financial provisions for trial campaigns, tests and evaluation activities, authorisation for sanctioning pre-project R&D initiatives, and clear segregation of financial powers for grants-in-aid on Extra-Mural Research Projects, Defence Innovation Accelerator-Centres of Excellence, and Technology Development Fund projects under the respective schedules.

The development comes weeks after Singh released the revised Delegation of Financial Powers (DFPDS-2026) for the Armed Forces, which includes a two-fold increase in financial ceiling for field commanders to improve operational efficiency, while also enhancing financial delegation to support revenue procurements exceeding Rs 1.25 lakh crore.

Next UN chief’s job: Keep conversations alive when others stop talking

For peace deal, first protect ceasefire

THE FOUR-day cycle of attacks may have subsided, but it underscores how fragile the nearly two-week-old ceasefire between Iran and the US continues to be. At the centre of the renewed tensions, again, is the Strait of Hormuz. A Singapore-flagged container ship that Iran is accused of striking last Thursday was using the toll-free temporary shipping route announced by Oman in coordination with the International Maritime Organisation. The incident prompted a US military response, triggering further exchanges, with the Islamic Revolutionary Guard Corps warning that ships transiting the Strait of Hormuz must use only the “authorised route” through Iranian territorial waters. Clearly, Tehran regards control over the Strait as a strategic lever, worth risking the ceasefire for, even if preserving it could bring substantial economic relief.

Adding to the uncertainty is the ambiguous language of the Memorandum of Understanding. While it requires Iran to “make arrangements using its best efforts for the safe passage of commercial vessels” through the Strait of Hormuz for 60 days, it does not define what those “arrangements” entail. Tehran’s interpretation appears to be that it alone can determine the routes commercial ships must follow. The vague language is now being exploited, as both sides accuse the other of violating the agreement. The other problem is Lebanon. The US-brokered security agreement between Lebanon and Israel, signed on Friday, provides for a phased Israeli withdrawal from parts of the south alongside the deployment of the Lebanese Army, contingent on the dismantling of Hezbollah. Iran has, however, displayed its willingness to close the Strait and resume hostilities if it believes the agreement’s terms on Lebanon are being violated by the US and Israel. With competing interpretations of the MoU, interlinked ceasefires, continuing proxy conflicts and overlapping security arrangements all pulling in different directions, any one of these fault lines could trigger a wider conflagration.

The situation remains in flux. The fallout of the instability extends far beyond the region and the energy sector, disrupting global supply chains, and countries the world over. The economic and military costs of an escalation appear to have given both sides an incentive to seek pathways to preserve the ceasefire framework. Sustained diplomatic engagement and a shared commitment to resolving the differences will be needed to prevent a spiralling of the conflict. This will be tested on Tuesday in Qatar where the two sides are expected to meet for talks.

Overheated Europe, Underprepared world

FOR SEVERAL years, weather extremes seemed a distant crisis for much of the Western world. The devastating heatwave of 2023 did leave an imprint on the ecological consciousness of a section of Europeans. But it’s only been about a decade since people outside the developing world began to feel the impact of global warming acutely. In Europe, temperature records were broken during the summers of 2019, 2022 and 2023. The hot weather has been particularly distressing for people across the continent this year. Temperatures have exceeded 40 degrees Celsius in several countries, red alerts have spread across France and other parts of Europe, schools have shut, transport systems have been disrupted, and health services have come under immense pressure. The UK has recorded its hottest June day on record, while Spain, Portugal, Belgium, the Netherlands and Germany have all experienced conditions that until recently would have been considered highly unusual. The exact toll taken by the climate vagaries is not yet known, but the tragedy of people drowning in France after jumping into rivers and canals to escape the heat underscores the severity of the crisis.

Municipalities in several parts of Europe are now discussing cooling centres, expanding green spaces, redesigning buildings, framing heat action plans and improving emergency response systems. Such conversations are necessary in a continent where buildings are designed to retain warmth. But adaptation addresses only one side of the problem. The European heat crisis is a reminder of something scientists have always asserted: Climate change is an interconnected planetary emergency. For instance, the current weather pattern, a blocked high-pressure system trapping hot air over Europe and drawing warm air up from the Sahara, is not unusual in European summers. But climate change has made such occurrences more frequent and exacting, especially because Europe is the fastest-warming continent.

Delays in global warming mitigation impose burdens all over the world. Most European countries have taken initiatives to cut net GHG emissions to negligible levels. But many of these plans have been criticised for being vague on near-term accountability. Ambitious emissions reductions are indispensable. Equally critical is ensuring that Europe honours its financial and technological commitments to developing countries. The heatwave should alert its policymakers to the fact that every unfulfilled climate promise makes future heatwaves more dangerous.

DAG HAMMARSKJÖLD, the United Nations’ second secretary-general, once offered what remains perhaps the clearest statement of the organisation’s purpose. The UN, he said, “was not created to take mankind to heaven, but to save humanity from hell”. The remark reflected the hard lessons of the first half of the 20th century, when two world wars, genocide, imperial conquest and the horrors of the Holocaust and Hiroshima devastated much of the globe. The UN was never intended to create a perfect international order; it was designed to prevent the recurrence of such catastrophes. Eighty years after its founding, that mission looks increasingly precarious.

Armed conflicts are multiplying. Nuclear risks have returned to strategic calculations. International law is under pressure, while the Security Council, the world’s principal instrument of collective security, is frequently paralysed by the rival interests of its permanent members. When cooperation is most needed, faith in multilateralism is ebbing as great-power rivalry thrives. Against this backdrop, the race to succeed António Guterres, whose term ends in December 2026, has assumed unusual significance. The next secretary-general will inherit what has often been described as the “most impossible job” on Earth. Yet there are moments when impossible jobs matter most.

The next UN chief will take office as the restraints that have helped contain international rivalry since 1945 visibly weaken. For all its shortcomings, the post-war order achieved something remarkable: It prevented World War III. Proxy wars, regional conflicts and repeated crises occurred, but direct military confrontation between the major powers was avoided. Colonial empires disappeared, dozens of new nations emerged, and institutions of international

cooperation often prevented local conflicts from becoming global disasters. Today, those achievements are under strain. Russia’s invasion of Ukraine, the devastation in Gaza, widening conflicts across West Asia, tensions in the South China Sea and the erosion of arms-control agreements all point to a world more willing to rely on force and coercion. Many smaller countries feel like mere spectators rather than participants in shaping the international order.

It is in moments such as these that the secretary-general’s role assumes particular importance. The office’s most successful occupants understood that preserving peace required more than administrative competence. Hammarskjöld helped navigate the Suez crisis and transformed peace-keeping into a practical instrument of conflict management. U Thant quietly created diplomatic space during the Cuban missile crisis, while Javier Pérez de Cuéllar helped broker settlements from Afghanistan to Central America and contributed to the Cold War’s peaceful conclusion. Kofi Annan became a moral voice for peace and humanity and was widely described as the “secular Pope”. Their influence rested not on formal authority but on credibility, discretion and the ability to help governments change course without appearing to surrender. That tradition has faded.

The secretary-general still commands a global platform unmatched by most political leaders. Yet the office has become increasingly cautious in using that authority. When governments hesitate to speak uncomfortable truths, excessive caution carries its own risks. The next secretary-general should not merely respond to crises but identify dangers before they erupt. Too often, the international community mobilises only after violence and humanitarian disasters have



SHASHI THAROOR



ED MATHEW

The next UN secretary-general will take office as the restraints that have helped contain international rivalry since 1945 visibly weaken

FCRA’s new rules shrink space for civil society



JOHN BRITTAS

SINCE THEIR notification on June 22, the Foreign Contribution (Regulation) Amendment (FCRA) Rules, 2026 have largely been discussed in terms of their impact on NGOs. But the changes compel us to confront a deeper question: Where does legitimate regulation end and executive control begin?

No responsible democracy can object to regulating foreign contributions. The difficulty arises when regulation gradually ceases to concern itself with money and begins to concern itself with institutions. The latest amendments mark such a transition. They prescribe the purposes for which organisations may function, require them to pre-terminate the states in which they may operate, create fresh benchmarks for assessing organisational legitimacy and expand reporting obligations into areas extending far beyond financial accountability.

Civil society occupies the constitutional space between the individual and the state, a space of charitable institutions, educational establishments, etc. Our Constitution consciously protects this plural institutional landscape. It recognises the freedom to form associations. It guarantees freedom of conscience and the right to profess, practise and propagate religion; it protects the rights of minorities to establish and administer educational institutions. These guarantees were never intended to immunise organisations from regulation; equally, they were never intended to permit regulation to become an instrument for narrowing their autonomy.

One provision of the new rules illustrates this concern vividly. The schedule appended to the Rules repeatedly excludes “proselytisation” from specified religious activities. No constitutional democracy can countenance conversion through force, fraud or coercion. Yet, the expression “proselytisation” finds no definition either in the parent Act or in the amended rules. It has no settled statutory meaning in Indian law. In effect, an undefined expression carrying potentially serious consequences has been introduced into subordinate legislation.

Laws cannot leave citizens or institutions guessing where legality ends and illegality begins. When vague terminology is used, its

practical meaning is left to executive interpretation. The danger of vague law is that it discourages perfectly lawful conduct.

Equally significant are the amendments relating to reporting obligations, now requiring disclosures extending to publications, articles, official websites, social-media accounts and descriptions of institutional activities.

There is a distinction between monitoring how an organisation spends money and monitoring what it thinks or communicates. That distinction acquires particular importance after the decision in *Justice K S Puttaswamy (Retd) vs Union of India*, where the Supreme Court recognised privacy as intrinsic to the right to life and personal liberty under Article 21. Privacy is not confined to physical spaces. It also encompasses informational autonomy.

These concerns assume greater significance when viewed alongside the pending Foreign Contribution (Regulation) Amendment Bill, 2026, which proposes even more extensive governmental powers over institutions and assets.

The present amendments must also be viewed against the trajectory of FCRA administration over the past 10 years. The new Rules represent the latest stage in the process of progressively tightening regulatory control over India’s voluntary sector. During this period, thousands of FCRA registrations have been cancelled. Equally disquieting is the diminution of transparency itself. Detailed organisation-wise information once publicly accessible through the Ministry’s FCRA portal has been withdrawn, while even parliamentary questions seeking particulars of FCRA licence cancellations have repeatedly been disallowed on the ground that such information is “secret in nature”.

As compliance obligations imposed on civil society become increasingly intrusive, public transparency regarding the exercise of regulatory power appears to have diminished. A constitutional democracy demands the opposite: Greater executive accountability as regulatory authority expands.

Brittas is Rajya Sabha Member of Parliament belonging to CPM. With inputs from Aneesh Babu

mental deadlock, these networks often remain capable of advancing cooperation. Perhaps the greatest challenge lies not within institutions but in political culture. The generation that experienced world war, genocide and nuclear brinkmanship required little persuasion about the consequences of international failure. Today’s leaders are more distant from those experiences, even as many of the dangers that inspired the UN’s creation have returned.

The next secretary-general cannot restore the UN’s relevance alone. But the office can remind governments and the public that multilateralism is not idealism but a practical necessity. Climate change, pandemics, mass displacement, cyber insecurity and nuclear proliferation do not respect borders. As Kofi Annan observed, they are “problems without passports”. The next secretary-general will inherit an organisation under financial pressure, confronting geopolitical fragmentation and facing widespread scepticism about its effectiveness. Yet the history of the UN offers a paradox. The organisation has seldom been most valuable when relations among states were harmonious. Its greatest contributions often came during periods of intense division, when channels of communication were scarce, and mistrust was abundant.

The secretary-general cannot end wars by decree or reshape international politics alone. What the office can do is create opportunities for diplomacy, preserve lines of communication and expand the political space in which compromise becomes feasible. The job remains impossible. The alternative, however, is a world in which nobody is left trying to save humanity from hell.

Tharoor, MP, served the UN from 1978 to 2007. He was India’s candidate for secretary-general in 2006, and came second out of seven candidates. Mathew is a former UN spokesperson



GOURAV VALLABH

Lower oil prices, a window of opportunity, don't waste it

INDIA'S MACROECONOMIC story today presents an unusual contrast. Consumer inflation remains comfortably below the RBI's medium-term target, while wholesale inflation has risen sharply. The rupee, which faced pressure amid recent geopolitical tensions, has regained some ground. Foreign exchange reserves remain robust, and growth continues to outpace most major economies. Yet beneath these reassuring headlines lies a challenge that policymakers cannot afford to ignore.

The widening gap between wholesale and consumer inflation deserves closer attention. Such divergences rarely persist. Producer costs eventually find their way into retail prices. Higher fuel and power prices have already raised production costs across sectors ranging from chemicals and fertilisers to textiles and engineering goods. These pressures are likely to surface in consumer inflation with a lag.

The reopening of key shipping routes has moderated global oil prices. For an oil-importing nation like India, this is more than temporary relief. It is a strategic opportunity.

The temptation is to treat lower oil prices as a windfall. That would be a mistake. Commodity cycles are temporary. Countries that use periods of lower prices to strengthen their fundamentals emerge stronger when conditions reverse. Those who view them merely as an excuse for higher spending often find themselves vulnerable during the next shock. India should use this window to reinforce three pillars of macroeconomic strength: Currency stability, export competitiveness and fiscal credibility.

The first priority should be strengthening external buffers. Lower oil prices reduce the import bill and improve the current account position. A portion of these gains should be used to strengthen foreign exchange reserves. Strong reserves provide insurance against future external shocks and help deter speculative pressure on the currency. At the same time, efforts to attract stable foreign currency inflows must continue.

The larger objective should be reducing India's structural dependence on imported energy. Over the past decade, India has expanded renewable energy capacity, promoted electric mobility and encouraged domestic manufacturing through production-linked incentives. The current oil price environment offers an opportunity to accelerate this transition.

The export sector can benefit as well. Lower energy costs reduce transportation and logistics expenses across the economy. Temporary cost advantages should be converted into durable gains in global market share. This is also an opportune moment to attract investment into energy-intensive manufacturing sectors. India's improving infrastructure, expanding domestic market, production-linked incentive framework and lower energy costs together create a compelling proposition for global investors seeking alternative production locations.

However, these opportunities can be undermined if fiscal discipline weakens. Whenever oil prices decline, governments face pressure to expand subsidies or increase recurring expenditure. While such measures may offer short-term

gains, long-term economic benefits lie elsewhere. Savings generated through lower oil prices should primarily support capital expenditure, deficit reduction and strategic reserve accumulation.

Fiscal credibility has become one of India's most valuable macroeconomic assets. It lowers borrowing costs, strengthens investor confidence and supports currency stability. Preserving this credibility must remain a policy priority. There is another reason for caution. A weaker-than-expected monsoon can quickly reverse gains in food inflation and place pressure on household budgets. Policymakers should strengthen food buffer stocks and secure supply chains while conditions remain favourable.

India has spent the last decade building stronger economic foundations through credible monetary policy, improved fiscal management, stronger reserves and accelerated infrastructure creation. These achievements deserve recognition. Yet, economic success is not measured by performance during favourable periods alone. It is measured by how effectively favourable periods are used to prepare for future challenges. The real test is whether India uses today's calm to prepare for tomorrow's turbulence.

The objective should not be to manage the next few months. It should be to use today's advantages to build resilience for the next decade. That is how temporary opportunities are converted into permanent economic strength.

The writer is professor of finance and part-time member, Economic Advisory Council to the Prime Minister. Views are personal

The opportunity is enormous. Global pension funds, insurance companies and sovereign wealth funds control more than \$110 trillion, much of it seeking stable, inflation-linked, long-term returns

Maharashtra to use AI to analyse, document petroglyphs in Konkan

Pratip Acharya
Mumbai, June 29

THE MAHARASHTRA government is making technology meet archaeology by using Artificial Intelligence (AI) to scientifically analyse, classify and interpret the origin and cultural etymology of thousands of pre-historic petroglyphs scattered across the Konkan region, a move that could significantly strengthen India's bid to secure UNESCO World Heritage status for these ancient sites.

The state government has allocated Rs 15 crore for this project, estimated to take four years. Petroglyphs are stone carvings of animal figures or humanoids, found in the lateral

plateau regions in Ratnagiri and Sindhudurg districts of coastal Maharashtra. The carvings mainly comprise figurines, including turtles, elephants, peacock and rhinoceros. These were discovered throughout expeditions and excavations carried out between 2017 and 2023.

According to archaeologists and experts, the origin of these carvings ranges between 20,000 BC and 10,000 BC and is older than the Harappan civilization whose earliest phase dates back to 7,000-5,000 BC. The carvings have an average size of 50 square metres by 20 square metres. Tejas Garge, director at Directorate of Archaeology and Museums, Maharashtra, said that these carvings cover 150 square



The stone carvings were found in Sindhudurg and Ratnagiri districts. THE DIRECTORATE OF ARCHAEOLOGY & MUSEUMS MAHARASHTRA

The state government has now appointed IIT Pravartak — the technology innovation hub of IIT Madras — for carrying out a digital assessment and documentation of these petroglyphs.

“These petroglyphs are the earliest evidence of art in the Indian context on such a large canvas. The figures clearly depict the cognitive ability of human beings to visualise nature and replicate them in the form of these carvings,” Garge said. Among the carvings discovered, there was none depicting horse or bull. It appeared uncanny to the experts initially, since bulls are horses are common in the pre-historic drawings and art forms in the Indian sub-continent where horses arrived be-

tween 1,500 and 1,000 BC, while agriculture was introduced during the 9,000 BC, he said.

“The absence of horse figurines indicated that the carvings were created during the pre-historic era and the absence of bulls established that they were created during the pre-agricultural era. So, it became clear to us that the origin of these carvings dates back to the Mesolithic era or the middle stone age period,” Gargse said. The petroglyphs were discovered in 2007 by a group of people from Ratnagiri led by local resident Sudhir Risbud (52). In 2021, Risbud, through a non-profit body Nisarga Yatri, secured funding from the Department of Science and Technology (DST) for documenting these fi-

gurines. More than 150 villages were surveyed in the Konkan belt where petroglyphs were found in 107 villages. The initial survey involved photographing the structure and recording the locations and their size.

"We started identifying these carvings from 2012 by using our own funds and till date have been able to find out 3,000 such figurines. They are huge in size, so manual documentation is not possible. High-end drone cameras are needed to carry out proper documentation of these carvings," Risbud said. Now, the state has appointed the IITM Pravartak for a scientific assessment of each of these figurines.

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Goats, cattle constitute half of cheetah prey in Kuno; chital 42%, reveals report

**Prey density
healthy in core
areas, low in
territorial forest:
Project Cheetah
director**

Nikhil Ghanekar
New Delhi, June 29

GOATS AND cattle together make up for 50% while Chital (spotted deer) formed 42% alone of the detected kills by 19 free-ranging cheetahs under Project Cheetah in the Kuno National Park and wildlife division landscape, according to the latest Project Cheetah progress report, which also identified continuous prey augmentation and improvements in habitat as central to sustaining reproductive cheetahs and the growing size of cubs

The progress report for September 2024 to December 2025, released by the Union Environment Ministry on Sunday, reflecting dietary diversity and



Cheetah Gamini with her cubs at Kuno National Park. @BYADAVBJP

prey availability challenges faced by the project. It noted that the dietary diversity reflects 'ecological adjustments', with evidence of small Indian civet kills, as well as opportunistic preying of birds and other small mammals.

India has 53 big cats under Project Cheetah.

“Continuous monitoring of the cheetahs, as found during the previous two years, showed that the main prey species hunted by cheetahs in and around Kuno NP was chital. In the free-ranging environment,

chital accounted for 42% of detected kills, followed by goat (30%), cattle (20%), Nilgai (2%), hare, sambar, chinkara, sheep, and wild pig contributes (1% each)," the report stated.

Free-ranging mothers with cubs, such as Jwala and Gamiini, demonstrated higher hunting frequencies, indicating elevated energy demands, the report noted. "Notably, certain free-ranging groups exhibited predation on domestic livestock, particularly goats and cattle... underscores the importance of proactive

negative interaction mitigation and community engagement measures," the report noted.

Jwala and her cubs, released into free-ranging areas in early 2025 predominantly relied on domestic goat kills, accounting for 40%, followed by cattle and chital. Agni and Vayu male cheetahs fed mostly on chital (39%), followed by domestic cattle (26%), domestic goats (19%), sheep (10%) and Nilgai and wild pigs (3% each).

Detailed tracking and analysis of their movements also showed the free-ranging cheetahs are moving far and wide, with some like the male cheetah Agni exploring a vast area of 3,198 sq km in the first 30 days since its release from the enclosed area. This was also witnessed recently in April as KP-2, a young male cheetah, made his way into Ranthambore's tiger forest, and had to be immobilized to get him back to Kuno.

Project Cheetah Director Uttam Kumar Sharma said it is natural for cheetahs to explore long distances and vast territories, and they have been found to have covered 12 dis-

tricts, six each in Madhya Pradesh and Rajasthan.

On concerns regarding sufficient prey availability, Sharma told *The Indian Express*, "The prey density is healthy in the national park boundaries, especially in core areas, at around 23 chitals per sq km. However, in territorial forest of the wildlife division, wild prey density is low. This is the region where the cheetahs prey on goats and cattle, in a multi-use area with competing interests from local communities. However, kill trends are still developing, evolving, so they should be seen in that context."

Kuno national park in Sheopur district is spread over 748.76 sq km with adjoining forest areas falling within Kuno wildlife division, collectively covering 1,235 sq km, now increased to nearly 1,800 sq km. The national parks form part of the larger Sheopur-Shivpuri dry deciduous open forests spanning 6,800 sq km, and Kuno River traverses the park area.

Along with Kuno, three cheetahs are hosted at Gandhi Sagar sanctuary in Neemuch and Mandsaur districts, MP.

ELECTRICITY GENERATION FROM RENEWABLE SOURCES JUMPED 18% IN MAY

Jump in electricity output pulls up May industrial growth to 5.1%

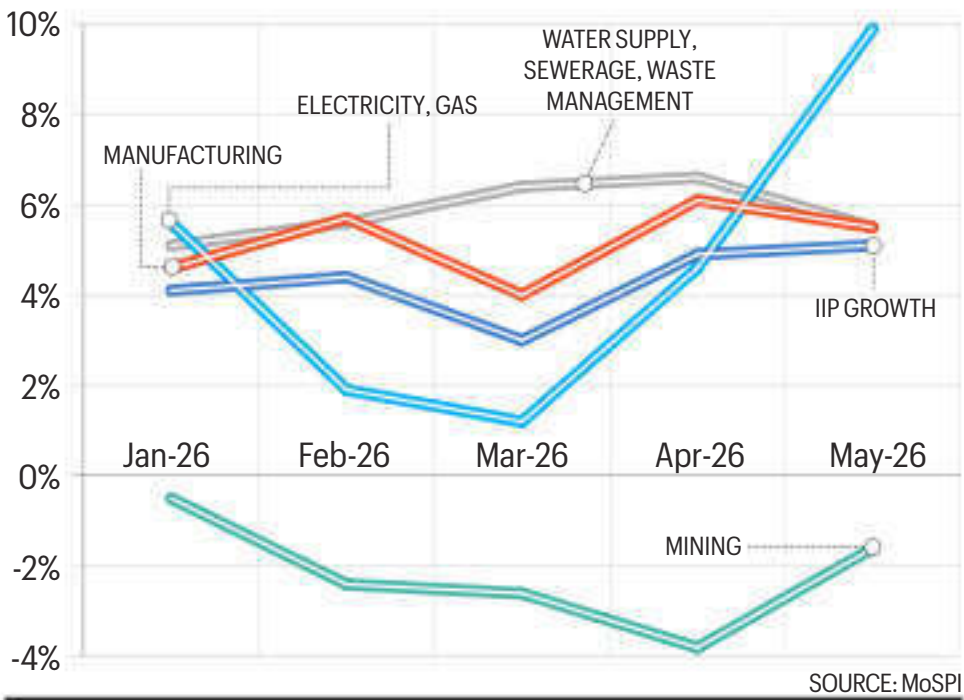
Siddharth Upasani
New Delhi, June 29

THE COUNTRY’S industrial production rose by 5.1% in May — the fastest increase in five months — pulled up by a double-digit increase in electricity generation, according to Index of Industrial Production (IIP) data released by the Ministry of Statistics and Programme Implementation (MoSPI) on Monday. In April, industrial growth was 4.9%.

In May, electricity generation from renewable sources jumped 18% while that from non-renewable sources increased by 8.8%, leading to overall electricity production rising by 11.1% as high temperatures boosted demand for power. However, gas supply was 7.1% lower in May, resulting in the output of the ‘electricity and gas’ category increasing by 9.9% compared to the same month last year.

According to Megha Arora,

● Electricity production pulls up May IIP growth



Director at India Ratings & Research, the impact of the West Asia crisis was “visible in continued gas supply contraction”. In April, gas supply had fallen 7.7%.

Meanwhile, the manufacturing sector — which accounts for more than three quarters of

the IIP — saw its output grow by 5.5% in May, down from an increase of 6.1% in April. Mining output fell again, this time by 1.6%, while output of the ‘water supply, sewerage & waste management’ category increased by 5.5% year-on-year.

Of the 23 categories within

the manufacturing sector, 16 saw a year-on-year rise in their production in May.

“Like previous months, electrical equipment, and motor vehicles, trailers and semi-trailers continued to surge at 20.8% and 14.5%, respectively. Electrical equipment continued to report growth due to small transformers, circuit breakers, and others,” Arora of India Ratings noted, adding that traditional export sectors such as leather and apparel contracted.

In terms of use-based classification of the goods produced, output of primary goods was 2.6% higher in May, while that of capital goods rose 12.9% and intermediate goods 5.8%. Infrastructure goods’ production was 5.9% higher. On the consumer front, durable goods posted a growth of 7.2% in May and non-durables 3.6%.

According to Rajani Sinha, Chief Economist at CareEdge Ratings, while the uptick in pro-

duction of consumer durables and non-durables is positive, the durability of recovery needs to be monitored amid the ongoing geopolitical volatility, inflationary pressures, and slow progress of the monsoon.

Moving forward, even though the decline in global energy prices is a source of relief, economists see some downside risks to industrial production as manufacturing and construction face cost pressures for imported inputs. “Even if shipping resumes through the Strait of Hormuz, repairs to the damaged oil and gas infrastructure in West Asia will take time and elevated war risk premiums, among other factors, would keep pressure on input costs,” said Dipti Deshpande, Principal Economist at Crisil.

The weak monsoon is another big risk for the industry as it could dampen rural demand, Deshpande said.

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‘INDIA’S STATISTICAL SYSTEM CAN RECLAIM ITS PAST GLORY’

PMO a facilitator in MoSPI’s modernisation: PK Mishra

Siddharth Upasani
New Delhi, June 29

THE MODERNISATION of the statistics ministry is a “success story”, with the Prime Minister’s Office playing the role of “a catalyst and a facilitator” to encourage the ministry’s leadership and senior officers, PK Mishra, Principal Secretary to Prime Minister Narendra Modi, said.

Speaking Monday at the 20th Statistics Day, organised by the Ministry of Statistics and Programme Implementation (MoSPI) to commemorate the birth anniversary of famed statistician PC Mahalanobis, Mishra also said India’s statistical system can reclaim its past glory that had seen it become one of the finest survey-based statistical systems in the world starting in the 1950s.

“After about half a century of this journey, the Indian statistical system witnessed a gradual decline in its capability and capacity... About a decade ago, there were several articles in newspapers and other forums and commentaries, very critical of our statistical system during the years 2014-2016 and so on. Our Prime Minister was very surprised at how so much



PK Mishra (right), Principal Secretary to PM Narendra Modi. PIB

criticism there was about our system,” Mishra said.

While Mishra did not mention specifics, he was seemingly referring to the blowback the government faced after it junked the Consumer Expenditure Survey for 2017-18, citing data quality issues. At the same time, key economic indicators such as the CPI and GDP had begun attracting criticism for being outdated.

According to Mishra, discussions in the PMO started in January 2020 over the improvement of India’s statistical

system, starting with a meeting involving MoSPI, NITI Aayog, and the World Bank.

“At that time, even within our Office, eyebrows were raised that the Prime Minister’s Office was spending time brainstorming on the statistical system instead of spending time on flagship programmes and schemes,” he said, adding that the PMO’s intention was to enable MoSPI to improve its performance by addressing structural and inter-ministerial issues.

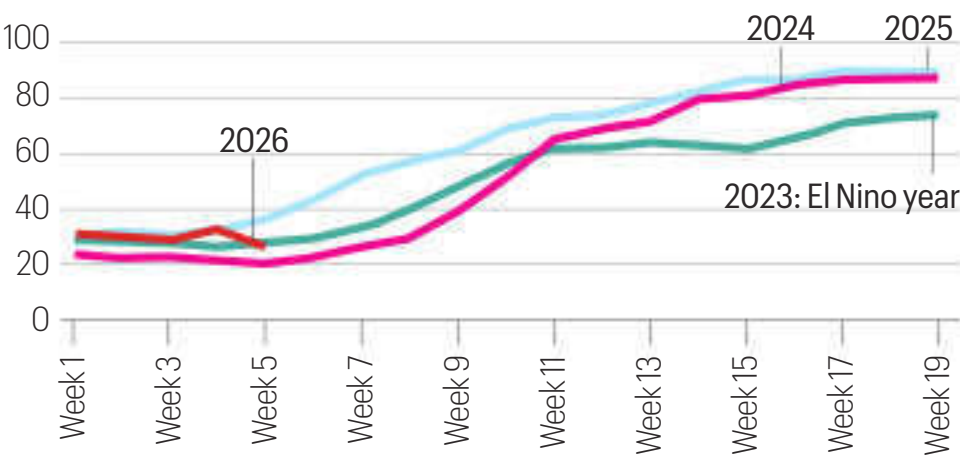
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● Weak rains hit reservoir storage levels

India’s monsoon remained weak despite progressing in the central region and moving towards the north, with the cumulative rainfall deficit widening further to 43.1% as of June 28 from 42.2% as of June 21.

Reservoir storage levels

Storage as % of live capacity at full reservoir level during monsoons



● With sowing set to begin from July, Barclays economists Aastha Gudwani and Amruta Ghare said in a note on Monday that “early indicators for soil moisture are not encouraging”.

● While economists debate the influence of rainfall on agricultural production and food inflation, a

key factor is how much water is stored in reservoirs. And this crucial number is sliding: as of June 25, storage in India’s key reservoirs was 26% of total capacity, down from 33% a week ago and 36% last year. Gudwani and Ghare noted that such a sharp weekly fall “is quite unusual”.

SOURCE: BARCLAYS

Cabinet clears Rs 30k cr NIIF boost

New Delhi: In a significant step to deepen India’s investment commitment for infrastructure and other nationally important sectors, the Union Cabinet last week approved an additional investment commitment of Rs 30,000 crore by the Centre towards new and upcoming funds of the National Investment and Infrastructure Fund (NIIF). PTI

• CLIMATE

Behind Europe’s heatwave, climate change the culprit



AMITABH SINHA

A NEW study has confirmed what was already evident — climate change is behind the scorching heat in large parts of Europe right now.

A study by World Weather Attribution (WWA), a group of scientists that examines the causes of extreme weather events worldwide, has found climate change to be “unequivocally to blame” for the European heatwave, which has seen several places record unprecedented temperatures in recent days. WWA said this was the most severe heatwave ever recorded in Europe.

On Sunday, WHO Director-General Tedros Adhanom Ghebreyesus wrote in a post on X that “Europe is the fastest-warming continent on Earth, heating at twice the global average... More than 1300 excess deaths have been recorded since 21 June linked to high temperatures in Europe.”

This is the third time in five years that Europe finds itself in the grip of an intense heatwave. Similar scenes were witnessed in 2022 and 2023 as well. More than 1,00,000 people are estimated to have died owing to extreme heat in those two years.

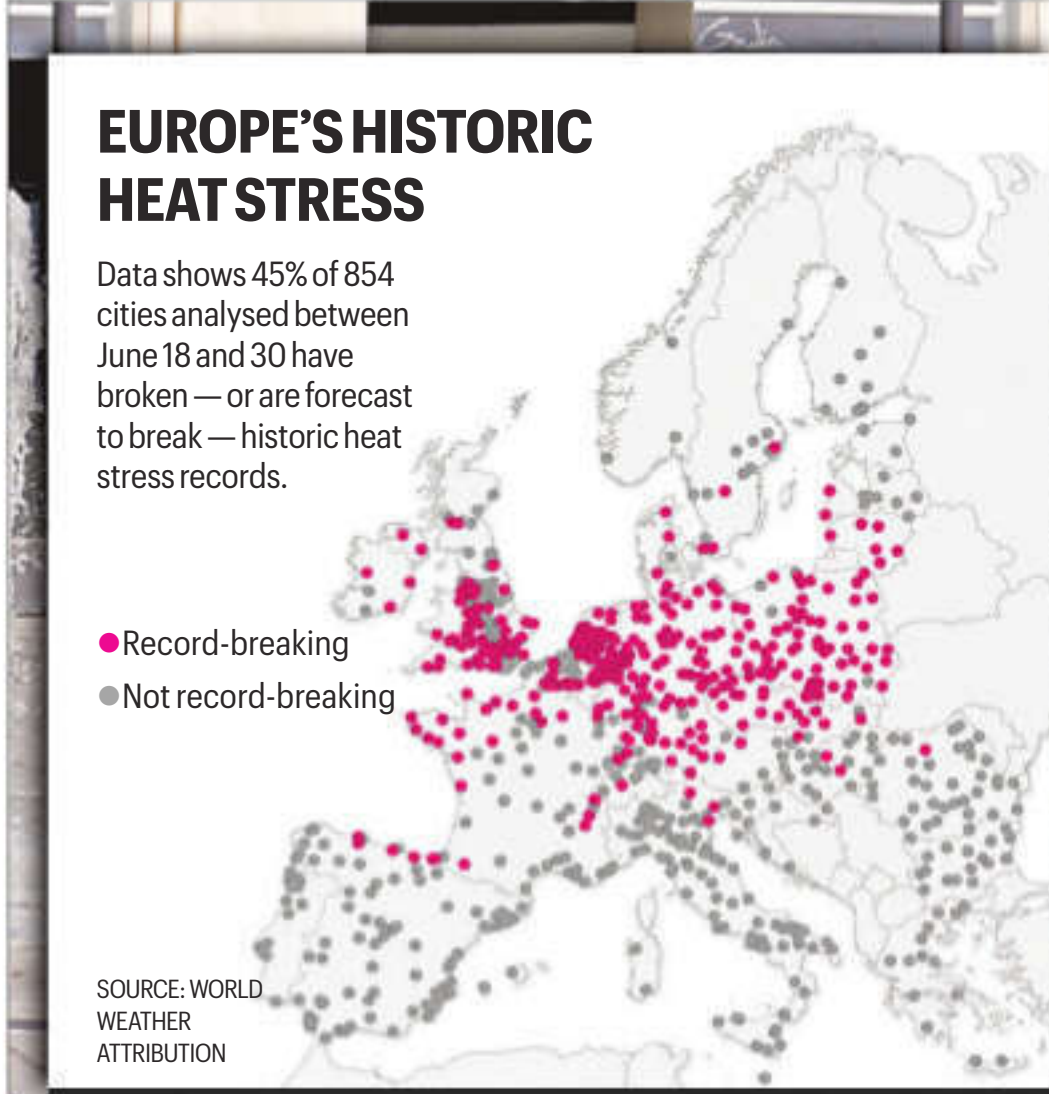
While the current episode of extreme heat is expected to slightly subside this weekend onwards, Europe’s ordeal might not be over yet, according to forecasts by meteorological offices of the UK and France. Historically, June has not been the hottest month for Europe — July is. With the El Niño phenomenon in the Pacific Ocean expected to get stronger in July, Europe might be staring at fresh heatwave spells in the coming weeks.

Climate change-driven heatwave

The WWA study, however, was categorical in assigning the cause of this heatwave. It said it was not because of El Niño, which is still to reach its peak, or any other reason, but climate change.

“Both the daytime highs and overnight temperatures seen during this heatwave would have been virtually impossible to occur at this time of year as recently as 1976 — just 50 years ago,” it said.

Many of the temperature records now being broken in Europe were set in 1976, when the region had experienced an un-



usually hot summer.

Europe experienced its first heatwave of this century in 2003. The study said that heatwave was nothing in comparison to what the region is witnessing now. The record-breaking high temperatures during the night are almost 100 times more likely today than they were in 2003, it said. The daytime peak temperatures observed during the current spell are almost 10 times more likely.

Daytime temperatures in most of Europe, barring the northern part, are usually between 20 and 30°C during June. Night-time temperatures typically vary between 11 and 17°C. But in many parts of the region, peak temperatures during the ongoing heatwave have been 10 to 15°C higher than normal. A similar situation had prevailed in May this year as well, when an early heatwave had prevailed in Europe.

“The analysis found that the El Niño Southern Oscillation (ENSO) phase had no role in driving the heat (in this spell),” the study said.

ENSO is an ocean-atmospheric interaction over the Pacific Ocean region. El Niño is one of the two phases of ENSO and is known to have a warming effect on the planet. Its opposite phase, La Niña, tends to bring temperatures down.

Why accurate attribution is important

Though the intensity of this particular

Concrete evidence

Climate attribution science is a relatively new discipline. It examines the likelihood of a particular extreme weather event, if climate change were not taking place.

• Attribution science seeks to remove ambiguity and determine the exact extent of responsibility that climate change bears.



A man cools off at a fountain during a heatwave in Saint Germain en Laye, west of Paris, on Thursday. AP

spell of European heatwave and the trend over the last few years had made the imprint of climate change fairly clear, scientists are usually wary of linking any individual extreme weather event to climate change without an attribution study like this one.

Climate attribution science is a relatively new discipline, developed just over the last two decades. It tries to examine the likelihood of a particular extreme weather event happening if climate change were not taking place.

Earlier, it used to take scientists a couple of months, even years, to make this assessment. But in the last three to four years, mainly owing to the efforts of WWA, a much faster assessment has been made possible, sometimes even when the event is still ongoing, as in the present case.

Attribution science seeks to remove ambiguity and determine the exact extent of responsibility of climate change in causing major extreme weather events.

In the last few years, it has established the footprints of climate change on several events. Besides preparing scientific evidence, this exercise is also aimed at forcing policymakers and decision-makers to act more rapidly on climate change.

Action awaited

The scientific evidence on climate change is already voluminous and compel-

While the link may seem self-evident, establishing scientific cause is key to driving policy action, which has been lacking

ling. Still, climate change seems to have dropped a few notches down in the list of global priorities, particularly after Donald Trump took office as US President. The recent G7 meetings, for example, hardly had any climate-related agenda or outcomes. A few years earlier, climate change used to be one of the most important items at such international meetings, especially those involving influential leaders.

Scientists insist that there is still time for countries to take rapid action and attempt to achieve the Paris Agreement targets of containing the global rise of temperatures within 1.5 or 2°C from pre-industrial times.

But governments appear to have all given up on those targets. For them, it seems, these targets have already gone beyond reach, or require the kind of mobilisation of resources on a global scale that is neither practical nor realistic to organise.

Countries seem to have decided to let climate change play itself out and do their best to deal with its impact and adapt to it — a strategy scientists routinely warn against. Adaptation has its limits, they maintain.

But global action on climate change has continued to woefully lag behind global warming. Events such as the European heatwave are only expected to increase both in frequency and intensity over the next few years.

• POLICY

Why more medicines will now have QR codes on their packets

Anonna Dutt
New Delhi, June 29

THE CENTRE has recently mandated that all vaccines, antimicrobials, narcotics and addictive drugs, and anti-cancer drugs carry a bar code or QR code, to enable tracking of each vial or blister pack of the medicine. This track-and-trace mechanism allows regulators as well as manufacturers to follow the entire journey of every unit of the product, from the manufacturing plant to the retail store.

This is already applicable for 300 top brands of drugs, such as the gastric reflux tablet Acilol and fever medicines like Calpol.

The mechanism will be implemented for the new categories over the next two years — by July 2027 for vaccines, narcotics, and anticancer drugs and by July 2028 for antimicrobials, according to the recent gazette notification.

How does the tracking system work?

In addition to the unique identification number for the particular blister pack or vial, the QR code or bar code also has to

carry the brand name and generic name of the drug, name and address of the manufacturer, batch number, date of manufacturing, date of expiry, and manufacturing licence number.

While most drugs in the market already carry this information on their pack, the QR code-based tracking system requires the manufacturers, wholesalers, distributors, and retailers to log these products on specialised track and trace platforms.

“This mechanism makes counterfeiting difficult. Some may still use AI to generate codes similar to the original product, but with each unit carrying a unique code, that becomes difficult,” said an industry expert, adding, “Even using the original packaging to refill and sell counterfeit drug is not likely to work because once the drug has been registered on the platform, the same number cannot be re-registered.”

“The enhanced traceability mechanism will facilitate authentication of medicines at various stages of the supply chain and enable improved tracking and verification of drug products. The measure is expected to strengthen regulatory oversight and support efforts to curb the distribution of spurious medicines in the market,” said the

Past cases

• The use of this mechanism to track expensive cancer drugs is specially significant, considering there have been instances where used vials have been filled with other medicines and sold to desperate patients.

• A recent investigation by ‘The Indian Express’ had tracked one such ring that counterfeited the cancer immunotherapy drug Keytruda.

Union Health Ministry in a statement.

Why is it needed?

The main aim is to prevent counterfeiting. A drug can be counterfeited by either releasing products with no active ingredient into the market or diluting a drug to increase quantities for sale.

The track and trace mechanism can help regulators identify whether a product was contaminated at the source — at the manufacturing plant of a company — or was tampered with.

The possibility of tracking every single unit also means that regulators and companies know exactly where to find their products in case there is a recall.

What are the challenges?

One of the challenges, an industry expert said, is that if there is a delay in logging the genuine product and a counterfeit gets logged into the system, the genuine drug might come across as counterfeit.

Second is the challenge of cost. Companies will have to put in place mechanisms to generate the unique codes and the tracking platforms, incurring significant expense.

The expert said: “While it may be feasible for companies selling expensive cancer drugs, smaller companies will struggle. Considering that many of the drugs in schedule H2 are ‘essential’ and therefore under price control, the government may provide some monetary support or allow the companies to raise the prices slightly.”

How does it change regulatory oversight?

Another reason for implementing the tracking mechanism is to improve the maturity level of the Indian drug regulator. The World Health Organization has a benchmark tool for rating regulators depending on the way drugs are approved, the mechanisms for surveillance and testing, and ways of recalling products.

When it comes to vaccines, the Indian regulator is already at Maturity Level 3, the second-best. Making each unit of a vaccine traceable is a step towards achieving the highest level, Maturity Level 4. Higher the maturity level, the easier it is for medicines from the country to be accepted in international markets, as their quality is seen as more trustworthy.

• GLOBAL

Iran to charge fee for using the Strait of Hormuz: What international law says



EXPERT EXPLAINS

ANWAR SADAT

ASSOCIATE PROFESSOR, INTERNATIONAL LAW, INDIAN SOCIETY OF INTERNATIONAL LAW, NEW DELHI

WITH THE signing of the framework agreement between the US and Iran this month, the Strait of Hormuz has been reopened and the US blockade on Iranian ships lifted. Still, there are fundamental legal concerns that require answers.

After the US and Israel attacked Iran on

February 28, Iran has used the Strait as both chokepoint and bargaining chip to put pressure on the US and its allies to end all hostilities. At one point, Iran was collecting toll per transit against those using the Strait so as to compensate for all damages caused by the war.

Although Iran has now agreed to reopen the Strait, it will still charge fees for navigation and environmental protection. This prompts a larger question: whether Iran’s action qualifies the litmus test of international law relating to a “right of transit passage” codified in the 1982 United Nations Convention in the Law of the Sea (UNCLOS).

Freedom of navigation

Articles 37 to 44 of the UNCLOS that govern “Straits used for International Navigation” hold that all ships and aircraft have a “right of transit passage”: the freedom of

continuous, swift navigation and overflight through and over international straits. They “shall not be impeded”, and “there shall be no suspension of transit passage” through a strait. This is because when a considerable portion of global trade depends on a narrow corridor, bordering states are not allowed to use it as leverage.

The Strait of Hormuz is generally considered as one such “international strait”. Even before the UNCLOS, the International Court of Justice laid down in the *Corfu Channel (United Kingdom v. Albania)* case of 1949 that in such cases, “ships enjoy unrestricted passage during peacetime, so long as the transit does not threaten a coastal state’s security”.

Iran is trying to consolidate its attempt to convert this Strait into a managed and revenue generating-entry point, which it would administer with Oman’s support and assistance.

As the Strait is within the combined territorial waters of Iran and Oman, freedom of navigation as enjoyed on the high seas is not available in the territorial sea. Still, ships are entitled to the “right of innocent passage”: the UNCLOS principle that allows foreign vessels to navigate through another coastal state’s territorial sea, thus balancing national sovereignty over coastal waters with the global necessity of free maritime transit.

But this is subject to the satisfaction of the coastal state that it is not going to prejudice its peace, good order, or security (Article 19 of the UNCLOS). These grounds are broad enough for Iran or a coastal state to use it to deny the right of innocent passage during a tense standoff.

Iran might use the analogy of the Suez and Panama canals, as both of them charge transit fees. But this does not support Iran’s case as these canals, unlike Hor-

muz, are artificially engineered waterways constructed, maintained, and administered through sovereign territory. Their functioning is also governed by specific treaty regimes and not by the UNCLOS provisions.

Iran signed the UNCLOS but never ratified it. Even then, the Iranian government declared that it does not treat codification of the regime relating to transit passage as customary international law — rather, they were *quid pro quo* bargains for treaty parties. Customary international law consists of unwritten rules binding all nations.

‘Persistent objector’

Iran can use the “persistent objector” argument, which states that a sovereign nation is exempt from a newly emerging norm of customary international law if it has clearly and consistently objected to the rule during the process of formation. This

is considered valid owing to the fact that Iran passed its own legislation in 1993 called “Law of Marine Areas of the Islamic Republic of Iran in the Persian Gulf and Oman Sea”. This law allows Iran to suspend the passage of foreign ships, and it also requires prior authorisation for warships and vessels carrying harmful substances with respect to environmental protection.

The latter category can encompass commercial oil tankers, which carry the bulk of petroleum and are widely treated in maritime law as posing environmental and navigational risks. This strengthens Iran’s “persistent objector” argument.

The Iran war has oscillated between a military confrontation and an economic war at a fast pace. Iran might have been stretched economically and militarily in conventional terms, but it made the world realise that it can impose global costs by making ordinary commerce uncertain.